

Coca-Cola

4Q24 & 2025 Preview: Confident in Momentum/Levers to Drive OSG

The Coca-Cola Company (KO, Overweight rated) is scheduled to report 4Q24 earnings results on Tuesday, February 11, before the market open.

- The Bar/Debate into Earnings and 2025 Guide:** The key debates for KO into print and 2025 guidance are the impact of FX headwinds (translation and transaction), higher rates for longer, and cash disbursements for discreet yet sizeable items (escrow deposit for taxes, and earn-out for fairlife). On the positive side, we see upside to consensus expectations as it relates to the top line, and we see KO one of the best positioned companies in our coverage when it comes to passing on FX headwinds.
- Core Holding Despite the FX Headwinds.** In light of KO's continued top-line momentum (strong brand equity & pricing power), and discount to historical valuation, we believe the transitory headwinds to the bottom line are mostly priced in. Our Dec-25 target price moves to \$70 (from \$75) based on 22x P/E (2Y average, HSD premium to MNC peers) given our lowered estimates and peer de-rating, which represents 10% upside over the next ~11.5 months, plus a ~3% dividend yield. We elaborate more on the setup into 4Q and 2025.
- 2025 Guidance will be Key. We See Upside to Consensus' Top Line but a Soft EPS Outlook on FX.** At a high level, we expect that KO will guide to OSG toward the higher-end of its long-term algorithm (i.e., +4-6%) and for comparable EPS growth in the +LSD% range. CEO Quincey recently said, *"I still feel very good about being at the top-end of the +4% to +6%, i.e., in the +5% to +5% range... We're going to lean into growth. We're going to go for volume growth and we're up for the price/mix growth and be top line-led."* While we do expect there to be a better balance of volume and price/mix into 2025, we still expect top-line growth to be pricing-led (i.e., accounting for ~70% of OSG) as we expect persistent inflation (albeit below levels in prior years) and FX headwinds to necessitate pricing and RGM levers (although likely can't pass through all currency devaluation in developed markets) while D&E markets drive volume growth. One of the big questions for the year is the impact to the P&L from USD appreciation leading up to and following President Trump's election — with 3Q24 results on October 23, 2024 KO guided to FX being a -LSD%/-MSD% headwind to top-line/EPS, but since then the USD has strengthened further. We believe KO was likely building in some cushion into that outlook, so perhaps a potential revision may not be as onerous as expected (i.e., EPS headwind could have gone from low-end or just below -MSD% to high-end of -MSD%), but we believe it is prudent to increase our expected FX headwind (to -3.8% from -1.9% before) on top-line and lower EPS estimate (to +2.9% YOY from +4.0% YOY before) ahead of earnings (we also adjusted our OSG outlook 50 bps higher and took interest expense slightly lower). We lifted our OSG estimate to +6.5% on stronger price/mix (from +6.0% before) vs. Consensus Metrix +5.8% and our EPS estimate of \$2.93 is -0.4% vs. consensus \$2.94.

Overweight

KO, KO US

Price (27 Jan 25):\$63.87

▼ **Price Target (Dec-25):\$70.00**

Prior (Dec-25):\$75.00

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur
Revenue - 24E (\$ mn)	46,357	46,350
Revenue - 25E (\$ mn)	48,197	47,591
Adj. EPS - 25E (\$)	2.97	2.93

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2023A	2024E	2025E
Q1	0.68	0.72A	0.75
Q2	0.78	0.84A	0.84
Q3	0.74	0.77A	0.77
Q4	0.49	0.52	0.57
FY	2.69	2.85	2.93

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)				
		6M	1Y	3Y	5Y	
Value	78	81	80	80	89	
Growth	94	55	26	10	34	
Momentum	47	43	56	34	55	
Quality	25	23	8	26	30	
Low Vol	1	1	1	6	4	
ESGQ	79	32	43	31	4	

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 11 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	2.6%	2.3%	-4.6%	7.6%
Rel	0.4%	1.6%	-8.1%	-14.4%

Company Data

Shares O/S (mn)	4,321
52-week range (\$)	73.53-57.93
Market cap (\$ mn)	275,982.30
Exchange rate	1.00
Free float (%)	81.4%
3M ADV (mn)	17.06
3M ADV (\$ mn)	1,076.4
Volatility (90 Day)	15
Index	S&P 500
BBG ANR (Buy Hold Sell)	24 7 0

Key Metrics (FYE Dec)

\$ in millions	FY23A	FY24E	FY25E	FY26E
Financial Estimates				
Revenue	45,784	46,350	47,591	49,907
Adj. EBITDA	14,464	15,114	15,991	17,101
Adj. EBIT	13,336	14,009	14,730	15,702
Adj. net income	11,677	12,314	12,661	13,751
Adj. EPS	2.69	2.85	2.93	3.19
BBG EPS	2.68	2.85	2.96	3.16
Cashflow from operations	11,599	5,782	8,267	14,993
FCFF	9,747	3,601	6,019	12,636
Margins and Growth				
Revenue Growth Y/Y (%)	6.4%	1.2%	2.7%	4.9%
Total Organic Sales Growth (%)	-	-	-	-
Gross margin	59.7%	61.0%	61.3%	61.5%
EBITDA margin	31.6%	32.6%	33.6%	34.3%
EBITDA Growth Y/Y (%)	6.3%	4.5%	5.8%	6.9%
EBIT margin	29.1%	30.2%	31.0%	31.5%
Net margin	25.5%	26.6%	26.6%	27.6%
Adj. EPS growth	8.4%	5.9%	2.9%	8.8%
Ratios				
Net debt/EBITDA	2.1	2.1	2.2	1.9
ROIC	-	-	-	-
ROE	46.7%	48.7%	54.5%	57.7%
Valuation				
FCFF yield	3.5%	1.3%	2.2%	4.6%
Dividend yield	2.9%	3.1%	3.2%	3.4%
EV/Revenue	6.3	6.3	6.2	5.8
EV/EBITDA	19.9	19.2	18.4	17.0
Adj. P/E	23.7	22.4	21.8	20.0

Summary Investment Thesis and Valuation

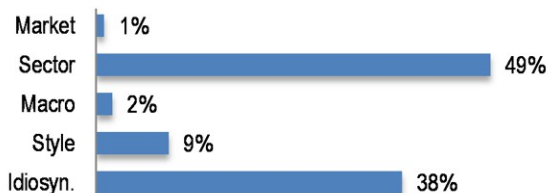
Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2025 price target is \$70, based on 22x P/E (2-yr average) on our 2026 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concern around GLP-1 and potential tax liability. Our \$70 price target implies ~10% upside in the next approximately 11.5 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.13	0.12
Sect: Cons Staples	0.64	0.72
Ind: Food Bev & Tobacco	0.76	0.80
Macro:		
Crude Oil	-0.17	-0.30
US 10yr yield	-0.36	-0.25
Economic Surprise	-0.14	-0.14
Quant Styles:		
LowVol	0.50	0.48
DivYld	0.41	0.41
Value	0.32	0.34

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Changes in Estimates.** We very slightly tweaked our 4Q24 estimates, although our EPS estimate remains unchanged at \$0.52 (in-line with consensus). For 2025, we lifted our OSG estimate +50 bps (to +6.5%), adjusted our interest expense estimate a bit lower, and updated our FX estimates (now modeling -3.8% on top-line), which lowers our EPS growth to +2.9% (\$2.93) from +4.0% (\$2.97). Current consensus estimates OSG +5.8% and EPS \$2.94 (+3.7% YOY). We suspect that KO was likely building in some cushion when it provided an outlook for FX to be a -MSD% headwind to EPS with 3Q24 results, and while we believe underlying momentum on the top-line, RGM, and productivity/cost controls will drive some upside to our EPS growth in 2025, we think it's prudent to expect an initial EPS guidance in the +LSD % range.

Table 1: KO 2025E Estimates - JPMe vs. Consensus

\$ m, except per share values

	2025E		Y/Y	JPMe
Income Statement	JPMe	Consensus	%	vs. cons
Net Sales	47,590.5	47,577.9	1.2%	0.0%
Gross Profit	29,176.3	29,033.0	3.4%	0.5%
Operating Income	14,729.6	14,387.5	5.0%	2.4%
Interest, Net	1,159.3	984.9	65.5%	17.7%
Net Income	12,660.9	12,644.5	5.5%	0.1%
Shares Outstanding	4,318.0	4,314.0	-0.4%	0.1%
EPS	\$2.93	\$2.94	5.9%	-0.4%
	2025E		bps	JPMe
Growth/Margins	JPMe	Consensus	bps	vs. cons
Sales Growth	2.7%	3.0%	(512)	(36)
Gross Margin	61.3%	61.0%	128	29
SG&A Margin	30.4%	30.8%	19	(43)
Operating Profit Margin	31.0%	30.2%	110	71
Tax Rate	19.0%	18.9%	20	10

Source: Bloomberg Finance L.P., Consensus Metrix and J.P. Morgan estimates.

Table 2: KO 2025E Top-Line Drivers - JPMe vs. Consensus

Revenue Build	2025E		JPMe
	JPMe	Consensus	vs. cons (bps)
Organic Revenue	6.5%	5.8%	67
EMEA	7.0%	5.8%	120
Latin America	9.5%	9.6%	(11)
North America	4.9%	4.4%	49
Asia-Pacific	7.8%	5.6%	222
Global Ventures	6.3%	5.0%	128
BIG	6.0%	5.3%	70
Unit Case Volume	1.9%	2.1%	(20)
EMEA	1.5%	1.6%	(14)
Latin America	1.0%	2.3%	(130)
North America	0.9%	0.9%	(1)
Asia-Pacific	4.0%	2.6%	140
Global Ventures	3.8%	2.8%	98
BIG	4.0%	1.7%	230
Concentrate Sales	1.9%	1.8%	10
EMEA	1.5%	1.7%	(24)
Latin America	1.0%	2.2%	(120)
North America	0.9%	1.4%	(51)
Asia-Pacific	4.0%	3.0%	100
Global Ventures	3.8%	3.3%	48
BIG	4.0%	2.9%	110
Price/Mix	4.6%	3.7%	88
EMEA	5.5%	4.0%	154
Latin America	8.5%	7.4%	109
North America	4.0%	3.4%	60
Asia-Pacific	3.8%	2.8%	102
Global Ventures	2.5%	1.9%	60
BIG	2.0%	2.8%	(80)
FX	-3.8%	-2.1%	(170)
M&A/Other	-0.6%	-0.2%	(39)

Source: Consensus Metrix and J.P. Morgan estimates.

- 4Q24 Expectations.** We continue to forecast 4Q24 EPS of \$0.52, which is in-line with the current Bloomberg consensus estimate. We very slightly lifted our OSG estimate (concentrate shipment basis) to +6.5% (from +6.4%), which compares to Consensus Metrix +7.0% with our estimates slightly below CM on both concentrate shipments (JPMe +0.8% vs. CM +1.0%) and price/mix (JPMe +5.7% vs. CM +6.0%). We model for unit case volumes flat vs. CM +0.6%. We note that the company's 2024 guidance implies 4Q24 EPS of about \$0.49-\$0.52 and we estimate OSG of around +6% (based on approximately +10% OSG guidance). Recall, KO has two extra calendar days in 4Q24, which should be a benefit to concentrate shipments, but the impact may be smaller given that the company saw less destocking than expected in 3Q24 following stocking in 2Q24 (i.e., the company had been expecting ~2 points destocking in 3Q24 but actual impact was <1 point). We are 42 bps ahead of the Street on margins (EBIT margins JPMe 24.5% vs. consensus 24.1%) with our gross margins ahead 29 bps (JPMe 58.8% vs. consensus 58.5%) and our operating expenses 12 bps lighter (JPMe 34.3% vs. consensus

34.5%), although we model more onerously on interest expense.

Table 3: KO 4Q24E Estimates - JPMe vs. Consensus

\$ m, except per share values

	4Q24E		Y/Y	JPMe	2024E		Y/Y	JPMe
Income Statement	JPMe	Consensus	%	vs. cons	JPMe	Consensus	%	vs. cons
Net Sales	10,857.3	10,667.8	-0.8%	1.8%	46,350.3	46,175.8	1.2%	0.4%
Gross Profit	6,387.1	6,237.0	0.9%	2.4%	28,252.1	28,049.0	3.4%	0.7%
Operating Income	2,657.8	2,568.5	5.0%	3.5%	14,008.8	13,919.6	5.0%	0.6%
Interest, Net	241.4	213.8	58.8%	12.9%	700.4	672.8	8.6%	4.1%
Net Income	2,232.4	2,237.1	4.8%	-0.2%	12,314.4	12,322.9	5.5%	-0.1%
Shares Outstanding	4,323.0	4,320.1	-0.2%	0.1%	4,321.8	4,321.2	-0.4%	0.0%
EPS	\$0.52	\$0.52	5.0%	-0.3%	\$2.85	\$2.84	5.9%	0.4%
	4Q24E		bps	JPMe	2024E		Y/Y	JPMe
Growth/Margins	JPMe	Consensus	bps	vs. cons	JPMe	Consensus	bps	vs. cons
Sales Growth	-0.8%	-2.6%	(821)	173	1.2%	0.9%	(512)	38
Gross Margin	58.8%	58.5%	100	36	61.0%	60.7%	128	21
SG&A Margin	34.3%	34.4%	(35)	(4)	30.7%	30.6%	19	13
Operating Profit Margin	24.5%	24.1%	135	40	30.2%	30.1%	110	8
Tax Rate	18.8%	18.9%	(30)	(6)	18.8%	18.8%	(20)	4

Source: Bloomberg Finance L.P., Consensus Metrix and J.P. Morgan estimates.

Table 4: KO 4Q24E Top-Line Drivers - JPMe vs. Consensus

Revenue Build	4Q24E		JPMe
	JPMe	Consensus	vs. cons (bps)
Organic Revenue	5.8%	7.0%	(123)
EMEA	4.5%	5.0%	(50)
Latin America	12.0%	15.3%	(330)
North America	7.5%	7.9%	(40)
Asia-Pacific	0.0%	0.9%	(90)
Global Ventures	0.0%	1.1%	(110)
BIG	-21.0%	4.2%	(2520)
Unit Case Volume	0.0%	0.6%	(56)
EMEA	-2.5%	-1.4%	(110)
Latin America	2.0%	1.7%	30
North America	0.5%	0.4%	10
Asia-Pacific	0.0%	-0.2%	20
Global Ventures	1.0%	1.6%	(60)
BIG	-25.0%	-3.1%	(2190)
Concentrate Sales	0.8%	1.0%	(24)
EMEA	-0.5%	-0.6%	10
Latin America	2.0%	2.4%	(40)
North America	1.5%	2.2%	(70)
Asia-Pacific	0.0%	0.1%	(10)
Global Ventures	1.0%	2.0%	(100)
BIG	2.0%	-1.8%	380
Price/Mix	5.7%	6.0%	(27)
EMEA	7.0%	6.0%	100
Latin America	10.0%	13.3%	(330)
North America	7.0%	6.8%	20
Asia-Pacific	0.0%	1.9%	(190)
Global Ventures	-1.0%	-1.1%	10
BIG	4.0%	3.2%	80
FX	-4.0%	-3.7%	(28)
M&A/Other	-4.6%	-4.8%	20

Source: Consensus Metrix and J.P. Morgan estimates. Note: JPMe organic = unit case volume + price/mix; Consensus organic = concentrate sales + price/mix

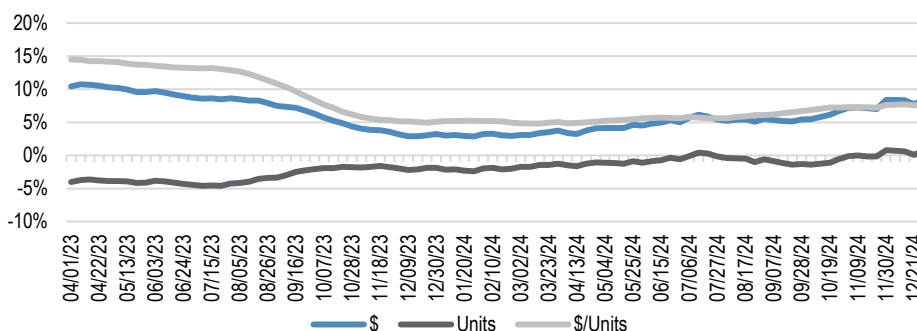
- **Consumer Environment Seems Largely Stable (Resilient) Globally (at Least in Aggregate) - Some Pockets More Challenging than Others.** Recent management commentary points to a relatively unchanged consumer environment in key regions, which we expect should continue at least in the near-term. In the U.S. the consumer broadly remains resilient but somewhat bifurcated with more pressure on lower income consumers as higher income consumers continue to spend and premiumize. This dynamic is similarly playing out in Western Europe, although a “slightly more subdued version,” with overall lower levels of growth. In other international markets, the company faced some headwinds in 3Q24 (e.g., Mexico tough comparisons, India higher than normal monsoon season, China macro softness, impacts from conflicts in Middle East), but ultimately trends in EMs should improve ahead as these headwinds abate/cycle, albeit some may persist (e.g., China macro subdued).
- **Tracked Channel Data Accelerate Sequentially to +HSD% With Improvement**

in Units and Price/Mix - Strong Acceleration in fairlife and Solid CSD

Performance. In the U.S. NielsenIQ tracked channels (FMV+C), total KO dollar/unit takeaway in L13W 12/28/24 grew +8.5%/+0.8%, which accelerated +310 bps/+210 bps from +5.4%/-1.3% in L13W 9/28/24. Price/mix per unit of +7.7% L13W 12/28/24 accelerated +100 bps from +6.7% L13W 9/28/24. On a 2Y stack basis, KO dollar/unit takeaway L13W 12/28/24 +11.7%/-1.1% was 0 bps/+220 bps from +11.7%/-3.3% L13W 9/28/24. Most of KO's key categories saw acceleration sequentially. In CSDs, KO dollar/volume L13W 12/28/24 +6.6%/+1.0% was +80 bps/-5 bps sequentially from +5.8%/+1.1% L13W 9/28/24 and KO CSDs performed in-line with the category ex-KO on sales but modestly underperformed on volumes (category ex-KO L13W 12/28/24 dollar/volume +6.7%/+1.9%) driven by KDP and smaller competitors. Fairlife (milk, shakes) accelerated strongly sequentially with L13W 12/28/24 dollar/units +48.3%/+31.5% from +34.1%/+21.9% L13W 9/28/24. Within fairlife's growth, milk grew +34.4% L13W 12/28/24 (vs. +27.2% L13W 9/28/24) and shakes grew +62.7% L13W 12/28/24 (vs. +40.5% L13W 9/28/24).

Figure 1: KO Takeaway +8.5% L13W 12/28/24 Accelerated +310 bps Sequentially

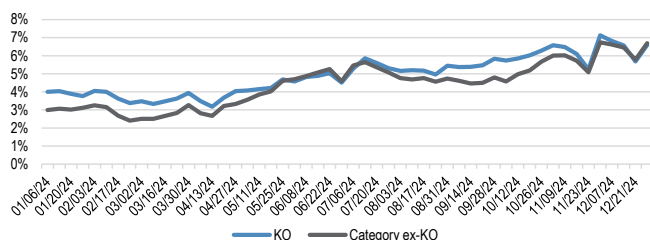
Rolling 13-Week \$ YoY



Source: NielsenIQ.

Figure 2: KO CSDs +6.6% L13W 12/28/24 Accelerated +80 bps Sequentially

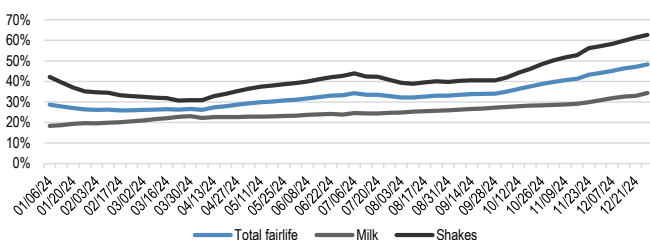
Rolling 13-Week \$ YoY



Source: NielsenIQ.

Figure 3: KO's fairlife +48.3% L13W 12/28/24 Accelerated +1,420 bps Sequentially

Rolling 13-Week \$ YoY



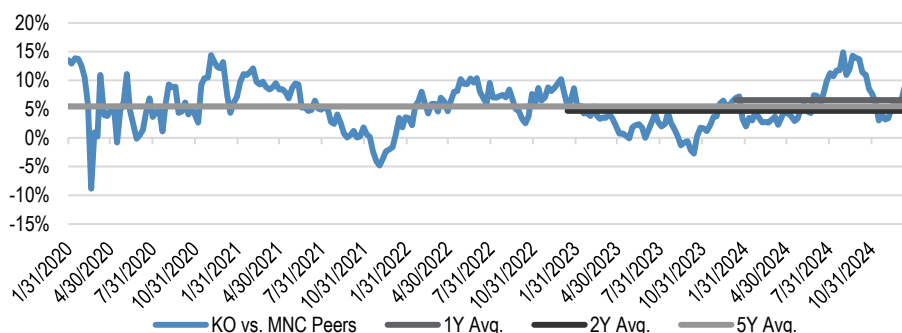
Source: NielsenIQ.

- **Solid Underlying Fundamental Outlook, but Shares Reflecting Overhangs from Rates, FX.** While KO shares continue to hold up relatively better within Beverages (e.g., L1M/L3M/L1Y KO +2%/-3%/+7% vs. other non-alcoholic beverages 0%/-6%/-8% and alcoholic beverages -4%/-16%/-20%), overall shares have underperformed the broader staples XLP and SPX over L3M/L1Y (XLP L1M/L3M/

L1Y +4%/+1%/+12% and SPX L1M/L3M/L1Y +1%/+3%/+23%). Staples underperformance vs. the broader market, in our view, reflects expectations for rates higher for longer, concerns over the consumption environment (particularly lower-income cohorts), and for the multinationals (most notably KO) unfavorable FX movements with USD appreciation (notwithstanding defensive rotation on Monday). That said, KO has a more favorable underlying outlook among our larger-cap coverage universe, in our view, with ongoing sustainable volume growth driven by Developing & Emerging markets and value-led contribution from Developed markets. As such, we believe shares are attractive at these levels. Our Dec-25 target price moves to \$70 (from \$75) based on 22x P/E (~HSD% premium to MNC peers, in-line with KO's 2-year average multiple), which represents 10% upside over the next ~11.5 months, plus a ~3% dividend yield.

Figure 4: KO at +8% Premium vs. MNC Peers, -560 bps Since End of September, but Above LT Averages

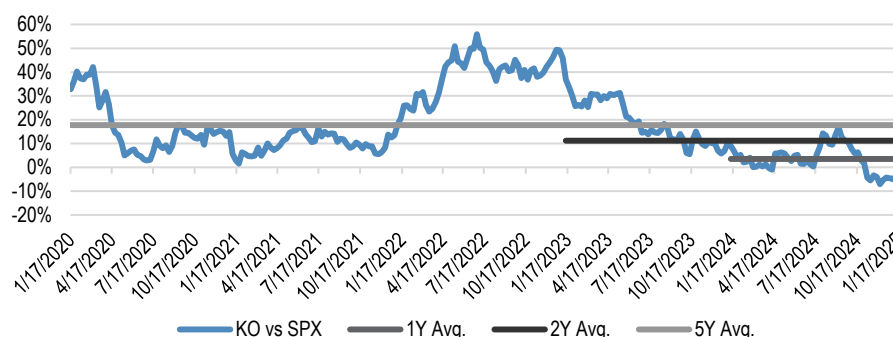
KO NTM P/E Relative Premium/Discount vs. Large Cap Multinational Peers (PEP, CL, PG, KVUE, KMB, HSY, MDLZ, K, ULVR, NESN)



Source: Bloomberg Finance L.P.

Figure 5: KO at -1% Discount to SPX, -1,180 bps Since End of September, Well Below LT Averages

KO NTM P/E Relative Premium/Discount vs. SPX



Source: Bloomberg Finance L.P.

- **Conference Call Details.** Date: Tuesday, February 11; estimated release time: 6:55AM ET; conference call details: time: 8:30AM ET, dial-in: 1-888-415-4465, passcode: 6819315

Investment Thesis, Valuation and Risks

Coca-Cola (Overweight; Price Target: \$70.00)

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2025 price target is \$70, based on 22x P/E (2-yr average) on our 2026 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concern around GLP-1 and potential tax liability. Our \$70 price target implies ~10% upside in the next approximately 11.5 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) economic weakness leading to material pressure in the away-from-home channel; (2) the uncertainty around potential impact of GLP-1 drugs on demand longer term; (3) margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements—all of which could drive further negative earnings revisions.

Coca-Cola: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY22A	FY23A	FY24E	FY25E	FY26E		1Q24A	2Q24A	3Q24A	4Q24E	
Revenue	43,046	45,784	46,350	47,591	49,907	Revenue	11,231A	12,313A	11,949A	10,857	
COGS	(17,817)	(18,465)	(18,098)	(18,414)	(19,211)	COGS	(4,237)A	(4,749)A	(4,642)A	(4,470)	
Gross profit	25,229	27,319	28,252	29,176	30,697	Gross profit	6,994A	7,564A	7,307A	6,387	
SG&A	(12,884)	(13,983)	(14,243)	(14,447)	(14,995)	SG&A	(3,351)A	(3,527)A	(3,636)A	(3,729)	
Adj. EBITDA	13,605	14,464	15,114	15,991	17,101	Adj. EBITDA	3,905A	4,306A	3,939A	2,964	
D&A	(1,260)	(1,128)	(1,106)	(1,261)	(1,399)	D&A	(262)A	(269)A	(268)A	(307)	
Adj. EBIT	12,345	13,336	14,009	14,730	15,702	Adj. EBIT	3,643A	4,037A	3,671A	2,658	
Net Interest	(457)	(645)	(700)	(1,159)	(975)	Net Interest	(142)A	(149)A	(168)A	(241)	
Adj. PBT	13,377	14,403	15,182	15,622	16,944	Adj. PBT	3,861A	4,452A	4,104A	2,765	
Tax	(2,545)	(2,737)	(2,855)	(2,968)	(3,219)	Tax	(734)A	(846)A	(755)A	(520)	
Minority Interest	(29)	11	(13)	7	27	Minority Interest	(8)A	10A	(2)A	(13)	
Adj. Net Income	10,803	11,677	12,314	12,661	13,751	Adj. Net Income	3,119A	3,616A	3,347A	2,232	
Reported EPS	2.48	2.69	2.85	2.93	3.19	Reported EPS	0.72A	0.84A	0.77A	0.52	
Adj. EPS	2.48	2.69	2.85	2.93	3.19	Adj. EPS	0.72A	0.84A	0.77A	0.52	
DPS	1.75	1.83	1.96	2.05	2.17	DPS	0.02A	0.48A	0.48A	0.97	
Payout ratio	70.5%	68.1%	68.7%	69.9%	68.1%	Payout ratio	3.2%A	57.7%A	62.4%A	187.2%	
Shares outstanding	4,351	4,339	4,322	4,318	4,310	Shares outstanding	4,322A	4,319A	4,323A	4,323	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY22A	FY23A	FY24E	FY25E	FY26E		FY22A	FY23A	FY24E	FY25E	FY26E
Cash and cash equivalents	9,519	9,366	11,797	8,526	8,356	Gross margin	58.6%	59.7%	61.0%	61.3%	61.5%
Accounts receivable	3,487	3,410	3,382	3,525	3,826	EBITDA margin	31.6%	31.6%	32.6%	33.6%	34.3%
Inventories	4,233	4,424	4,234	4,392	4,636	EBIT margin	28.7%	29.1%	30.2%	31.0%	31.5%
Other current assets	5,352	9,532	7,090	7,247	7,432	Net profit margin	25.1%	25.5%	26.6%	26.6%	27.6%
Current assets	22,591	26,732	26,503	23,691	24,250	ROE	45.9%	46.7%	48.7%	54.5%	57.7%
PP&E	9,841	9,236	10,477	11,464	12,423	ROA	11.5%	12.3%	12.3%	12.4%	13.5%
LT investments	501	118	44	44	44	ROCE	15.7%	16.8%	16.7%	17.4%	18.8%
Other non current assets	59,830	61,617	66,070	66,070	66,070	SG&A/Sales	29.9%	30.5%	30.7%	30.4%	30.0%
Total assets	92,763	97,703	103,094	101,269	102,787	Net debt/equity	1.1	1.1	1.2	1.5	1.2
Short term borrowings	2,373	4,557	2,203	2,203	2,203	P/E (x)	25.7	23.7	22.4	21.8	20.0
Payables	15,749	15,485	22,488	23,325	24,339	P/BV (x)	11.5	10.7	11.2	12.6	10.7
Other short term liabilities	1,602	3,529	2,623	2,689	2,247	EV/EBITDA (x)	21.2	19.9	19.2	18.4	17.0
Current liabilities	19,724	23,571	27,314	28,217	28,790	Dividend Yield	2.7%	2.9%	3.1%	3.2%	3.4%
Long-term debt	36,377	35,547	42,994	42,994	39,994	Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Other long term liabilities	10,836	11,105	6,549	6,549	6,549	Interest cover (x)	29.8	22.4	21.6	13.8	17.5
Total liabilities	66,937	70,223	76,857	77,760	75,333	Operating leverage	98.0%	126.2%	407.9%	192.3%	135.6%
Shareholders' equity	24,105	25,941	24,601	21,873	25,818	Revenue y/y Growth	11.4%	6.4%	1.2%	2.7%	4.9%
Minority interests	1,721	1,539	1,636	1,636	1,636	EBITDA y/y Growth	8.3%	6.3%	4.5%	5.8%	6.9%
Total liabilities & equity	92,763	97,703	103,094	101,269	102,787	Tax rate	19.0%	19.0%	18.8%	19.0%	19.0%
BVPS	5.54	5.98	5.69	5.07	5.99	Adj. Net Income y/y Growth	7.1%	8.1%	5.5%	2.8%	8.6%
y/y Growth	4.5%	7.9%	(4.8%)	(11.0%)	18.3%	EPS y/y Growth	6.8%	8.4%	5.9%	2.9%	8.8%
Net debt/(cash)	28,587	29,701	32,028	35,299	32,469	DPS y/y Growth	4.8%	4.7%	6.7%	4.8%	6.0%
Cash flow from operating activities	11,018	11,599	5,782	8,267	14,993						
o/w Depreciation & amortization	1,260	1,128	1,106	1,261	1,399						
o/w Changes in working capital	(605)	(846)	(7,531)	379	284						
Cash flow from investing activities	(763)	(3,349)	2,387	(2,248)	(2,358)						
o/w Capital expenditure	(1,484)	(1,852)	(2,181)	(2,248)	(2,358)						
as % of sales	3.4%	4.0%	4.7%	4.7%	4.7%						
Cash flow from financing activities	(10,250)	(8,310)	(5,575)	(9,289)	(12,806)						
o/w Dividends paid	(7,616)	(7,952)	(8,454)	(8,855)	(9,371)						
o/w Net debt issued/(repaid)	(958)	1,857	3,373	0	(3,000)						
Net change in cash	(200)	(133)	2,328	(3,271)	(170)						
Adj. Free cash flow to firm	9,534	9,747	3,601	6,019	12,636						
y/y Growth	(15.3%)	2.2%	(63.1%)	67.2%	109.9%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

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